Guidance

Labour Market Test Guide

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AUDIENCE	PUBLISHED	OWNER
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What is a Labour Market Test (LMT)

A Labour Market Test is a mechanism to ensure a third country national is admitted only after an employer in the destination country has demonstrated that a vacancy cannot be filled from the available resident labour force. The European Migration Network (EMN) defines it as a *'Mechanism that aims to ensure that migrant workers are only admitted after employers have unsuccessfully searched for national workers, EU citizens.. or legally residing third-country nationals with access to the labour market according to national legislation'.* It is not a marker/indicator of a candidate's qualifications.

Who conducts a Labour Market Test (LMT)

The candidate is not required to undertake the LMT herself/himself. It is the Employer who initiates the Test, usually by notifying the vacancy to the respective Public Employment Service of the country which is to be advertised for a set period so that resident workers can apply first. A case in point is Ireland's Labour Market Test that requires at least 28 days before the permit application can be filed on top of processing. The responsible authority then assesses whether resident labour is available. Once it is established that there is insufficient resident labour force, the Employer then files for work/resident permit. The latest revised **Single Permit Directive (EU 2024/1233),** effective from 22 May 2026, creates for countries (except Denmark and Ireland) a *single application procedure* for a combined work and residence permit and shortens the permit decision deadline to 90 days.

Legal architecture of the Labour Market Test (LMT)

Article 79 (5) of the Treaty on the Functioning of the European Union (TFEU) states that '*the Union shall not affect the right of Member States to determine the volumes of admission of third-country nationals coming from third countries to their territory in order to seek work, whether employed or self-employed.*' This implies that Member States have the authority to set their own limits on the number of third-country nationals they allow to enter their countries to work. Hence, **LMTs are largely a national competence.** Germany and Poland have abolished it for skilled routes, Netherlands exempts highly skilled migrants from LMT, Ireland applies LMT to General but not Critical Skills Permits and France too applies it except for Shortage Occupation Lists while Italy pairs it with a hard quota and Sweden uses a wage-threshold safeguard.

Where does one actually encounter an LMT in the application process

An applicant encounters an LMT at the Permit Issuance stage. Outlined below is the end to end application process from job search to arrival at the destination country:

1. **Job Search**

   Applicant finds a relevant job vacancy/opportunity and applies.

2. **Job Offer**

   The Applicant receives a job offer. If the position falls under the Shortage Occupation /Critical Skills List, LMT is usually not a concern. However, if the occupation is not on the List, the Applicant should clarify from the employer directly if the route is LMT-Exempt.

3. **Permit Issuance**

   LMT route

   If the occupation is not LMT-Exempt, the Employer initiates the LMT test by notifying/ registering the vacancy with the Public Employment System of the destination country. The vacancy must be advertised for a set period so that resident workers can apply. This extends the entire process by a few weeks before the Employer can apply for the work and residence permit on confirmation of insufficient resident labour force.

   LMT-exempt route

> If the position falls under the Shortage Occupation /Critical Skills List or another LMT-exempt route (see below), LMT is usually not a concern: the Employer applies for the work and residence permit directly.

4. **Decision**

   The relevant authority of the destination country decides on the permit. The latest revised **Single Permit Directive (EU 2024/1233),** effective from 22 May 2026, allows countries (except Denmark and Ireland) to create a *single application procedure* for a combined work and residence permit and shortens the permit decision deadline to 90 days.

5. **Visa**

   Once the permit decision is taken, the applicant applies for the entry visa/long-stay visa

6. **Arrival and registration**

   The applicant collects the residence card/permit and registers locally.

Where is the LMT partially waived or does not apply

EU Blue Card Holders

This pertains to the EU Blue Card Directive (EU) 2021/1883 of 20 October 2021. The EU Blue Card is the flagship highly-qualified route and the one most relevant to Indian ICT candidates. It does not require a mandatory LMT but it allows Member States to apply one. Under Article 7 of the Directive, a labour market check is one of the grounds on which a Blue Card application may be rejected.

Shortage Occupation Lists

If a job is on a shortage/critical skills list of the destination country, the LMT is deemed satisfied and hence **does not apply**. For eg. Ireland's Critical Skills List, France's Metiers en tension or a similar list.

Intra-corporate transfer

This pertains to Directive 2014/66/EU**. LMT is not required for genuine intra corporate transferees.** This is directly relevant to Indian ICT staff transferred by an Indian or multinational employer to an EU Branch.

Students Directive

The relevant Directive is (EU) 2016/801: **No LMT for students.** Admission to study carries no labour market test and students are explicitly excluded from the above mentioned Article 79 (5) of the TFEU

on Volumes of Admission reservation. However, as per Article 24 (3) of the Directive, the Member State is allowed to take its labour market situation into account for the work an individual is permitted alongside their studies (a minimum of 15 hours per week).

Researchers Directive

The relevant Directive is (EU) 2016/801. For researchers, admission is via a hosting Agreement with no separate work permit required. However, under Article 6 of the Directive, where a Member State considers researchers, v volunteers, trainees to be in an '*employment relationship',* it may apply a test 'demonstrating that the post cannot be filled from within the domestic labour market' and it retains the Article 79 (5) volumes right.

Graduates and researchers moving into employment

This is with regard to Directive (EU) 2016/801. Article 25 states that after completing one's studies or research, the individual may stay at least nine months to seek employment or set up a business. However, that does not grant automatic access to the labour market. When such an individual applies for a work permit to fill a post, Article 20 (3) lets the Member State verify whether the post could be filled by the domestic labour force and reject the application on that basis.

EU long-term residents

Under Directive 2003/109/EC , EU long term resident status confers strong equal-treatment and intra-EU mobility rights. Such individuals moving to a second Member State can face lighter conditions despite the Member State having full discretion to determine the applicability of the LMT.

Candidate FAQ

How much time does an LMT add?

It varies depending on the destination country. Where it applies, one should expect a mandatory advertising period before the permit application can even be filed. For example, Ireland's General Employment Permit route requires atleast 28 days. Processing time is in addition to this. LMT-exempt routes skip this entirely.

Does the EU Blue Card avoid the LMT?

In most cases, yes. Directive (EU) 2021/1883 imposes **no mandatory LMT** as the salary threshold is the safeguard. Member States are still allowed to apply a labour market situation check under Article 7 (2) (a). Germany does not mandate LMT. One must check with their employer at the time of application and also confirm for their respective destinations.

Is the Blue Card available in every Member State ?

It is available in all Member States except Ireland and Denmark. For Ireland, refer to the Critical Skills/General Employment Permit system. For Denmark, its national schemes.

What happens if my company is transferring me ?

Genuine intra-group tranfers under the ICT Directive (2014/66/EU) carry **no LMT.** One usually needs 3-12 months' prior employment with the company.

I am already studying in the EU. Does it apply to me?

It does not apply to students/ your studies. However, on conversion to work, most States offer exemption or light-touch routes. One needs to check their country's conversion rules.

What will my employer need from me ?

Passport, Degree certificates plus a recognition/equivalency assessment , CV (Curriculum Vitae), signed contract meeting the salary threshold, professional certifications where relevant.

What to ask the Employer?

One important question to ask the Employer is "Which permit route are you using and does it require a labour market test?" . This will help the candidate identify if the role is a shortage occupation (where LMT is exempted) and also how experienced the Employer is at non-EU hiring.

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